Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	Gildan Activewear Inc - 32
Country	Nicaragua
Assessment Date	10/13/2025
Assessment Company	VeLaR International - 200011

Workforce Summary

Number of Workers	2134
Percentage female	62 %
Primary Languages	Spanish

Wage Data information

Monthly minimum wage in country at time of assessment	The legal monthly minimum wage within "Zonas Francas", Nicaragua in 2024 is 8,746.46 NIO.
GLWC living wage benchmark for the country or relevant region at time of assessment	N/A

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	1
Health, Safety And Environment (HSE)	3
Employment Relationship (ER)	1
Hours Of Work (HOW)	0
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	0

Violations per Category	Violated Benchmarks
Immediate Action Required	4
Sustainable Improvement Required	1
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

24-Hour Findings Summary

24h Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	1
Employment Relationship (ER)	0
Hours Of Work (HOW)	0
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	0

Details 24h Findings

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.13
Benchmark Details	All necessary ventilation, plumbing, electrical, noise and lighting services shall be installed and maintained to conform to applicable laws and to prevent or minimize hazardous conditions to workers in the facility.
Finding Details	(24hr) HSEB_MSA_Q10 - Are electrical problems timely and adequately fixed? Answer: No, 24h Finding Explanation: During the document review, it was observed that facility (of 7200m2) has an electrical installation that relies on a single load transformer with a capacity of 1500KVA. According to the maintenance report from the external supplier "Cubas Eléctrica" in February 2025, the condition of the transformer's insulating oil was considered "alarming," with carbon monoxide and carbon dioxide gases generation, indicating overheating of the transformer, which could be due to overload or inadequate cooling. This compromises the integrity of the operation and, in extreme cases, could lead to an explosion. Therefore, the supplier recommends an immediate oil change to safeguard the system's integrity. Corrective actions have not been carried out to date, leaving the system compromised and increasing the risk of harm to personnel and the facilities.

Assessment Results

Employment Relationship (ER)	
Benchmark ID	ER.1.3
Benchmark Details	Employers should implement an annual, review process with input from workers of all policies, procedures and their implementation to ensure they meet legal requirements and the FLA Workplace Code.
Finding Details	It was found that the factory does not have a committee that allows for clear and transparent communication with the workers, which would allow for dialogue to address labor issues in the factory.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	Develop and implement a procedure to create, train, and update the employees' committee.
Compliance Classifications	Sustainable improvement required
Local Law	

Health, Safety And Environment (HSE)	
Benchmark ID	HSE.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning health, safety, and the environment.

Finding Details	1.- During the document review, it was observed that the factory does not have a fire risk assessment to support the claim that its mitigation measures are sufficient in the event of a fire. It should be taken into consideration that it only has 78 fire extinguishers to cover an area of 7,200 square meters. 2.- During the document review, it was observed that the document entitled "Technical Organizational Regulations for Occupational Safety and Hygiene," an official document issued in August 2024 and stamped by the competent authority, contained the following discrepancies regarding legal requirements for accuracy: - Incorrect description of the facilities: The process description section indicates that the facility have two production facilities with a total of 100 pieces of equipment, while the manufacturing currently consists of a single production facility of approximately 7,200 m² with more than 200 pieces of equipment and a container storage yard with a capacity of 35 units and an area of approximately 4,000 m². - Omission of the job title "Tractormula" (Truck Driver) 3.- During the document review, it was observed that the facility has a maneuvering yard with a capacity of 35 containers; however, it was observed that the plans included in the 2025 Emergency Plan do not include the maneuvering yard, which has an approximate area of 4000 m². 4.- The Health and Safety Committee members have not received the corresponding training.
Recommendations for Immediate Action	1.- Please develop a fire risk assessment to determine the necessary mitigation measures. 2.- Please update the "Technical Organizational Regulations for Occupational Safety and Hygiene," with all facilities and job positions included and obtain the competent authority stamp. 3.- Please update the Emergency Plan considering all facility premises. 4.- Please deliver the corresponding training to the Health and Safety Committee.
Recommendations for Sustainable Improvement	1.- Develop a fire risk assessment procedure to establish the periods, conditions and responsibilities to keep the assessment accurate and updated. 2.- Ensure the Health and Safety Committee monitors the "Technical Organizational Regulations for Occupational Safety and Hygiene," to keep it accurate and update. 3.- Ensure the Emergency Plan is periodically reviewed by the Health and Safety Manager and the Health and Safety Committee. 4.- Develop a training program to keep the Health and Safety Committee members trained.
Compliance Classifications	Immediate Action Required

Local Law	1.- Law No. 618 General Law on Occupational Health and Safety. Article 18 subsection C, 2. 2.- Law No. 618 General Law on Occupational Health and Safety. Article 61. 3.- Law No. 618 General Law on Occupational Health and Safety. Article 10. 4.- Law No. 618 General Law on Occupational Health and Safety. Article 58.

Benchmark ID	HSE.7
Benchmark Details	Workers shall be provided at no cost with all the appropriate and necessary personal protective equipment (e.g. gloves, eye protection, hearing protection, respiratory protection) to effectively prevent unsafe exposure (e.g. inhalation or contact with solvent vapors, noise, dust) to health and safety hazards, including medical waste.
Finding Details	Personnel handling chemicals, gas mixtures, or powders use a mask with activated carbon filters; however, according to the manufacturer's technical data sheet, the filters have a useful life of 6 months, and the replacement period by the company exceeds 12 months.
Recommendations for Immediate Action	Ensure to develop a PPE delivery control system.
Recommendations for Sustainable Improvement	Ensure to monitor the traceability of the delivery control system during the internal Health and Safety revisions.
Compliance Classifications	Immediate Action Required
Local Law	Law No. 618 General Law on Occupational Health and Safety article 18, subsection 14.

Benchmark ID	HSE.13
Benchmark Details	All necessary ventilation, plumbing, electrical, noise and lighting services shall be installed and maintained to conform to applicable laws and to prevent or minimize hazardous conditions to workers in the facility.

Finding Details	1.- During the document review, it was observed that facility (of 7200m2) has an electrical installation that relies on a single load transformer with a capacity of 1500KVA. According to the maintenance report from the external supplier in February 2025, the condition of the transformer's insulation oil was considered "alarming," with carbon monoxide and carbon dioxide gases generation, indicating overheating of the transformer, which could be due to overload or inadequate cooling. This compromises the integrity of the operation and, in extreme cases, could lead to an explosion. Therefore, the supplier recommends an immediate oil change to safeguard the system's integrity. Corrective actions have not been carried out to date, leaving the system compromised and increasing the risk of harm to personnel and the facilities. 2.- During the document review, it was observed that the maintenance of the auxiliary diesel generator was carried out in September 2025, and it was noted that it requires immediate attention. As of the date of the document review, this maintenance had not been performed, which is critical since the plant uses it daily. 3.- During the document review, it was observed that the facility expanded the power network by integrating a new 1000 KVA transformer dedicated to the air conditioners; however, upon reviewing the information, the plant did not present a document that certifies that the existing grounding network meets the discharge capacity of the new installations. 4.- During the document review, it was observed that there is no action plan specifying how the plant will follow up on the corrective actions resulting from the lighting level study, where at least 77 out of 890 samples were found not to meet the lighting levels according to applicable regulations. Furthermore
Recommendations for Immediate Action	1.- Proceed with the supplier’s recommendation and change the transformer oil. 2.- Provide maintenance to the auxiliary diesel generator. 3.- Ensure to develop a grounding network assessment. 4.- Carry out the required corrective actions to ensure meeting the lighting levels according to applicable regulations. 5.- Develop the hearing protection plan.

Recommendations for Sustainable Improvement	1.- Assign a person responsible for monitoring the transformer conditions and include the inspection report in the periodic Health and Safety revisions. 2.- Assign a person responsible for monitoring the diesel generator conditions and include the inspection report in the periodic Health and Safety revisions. 3.- Develop a procedure to ensure the Health and Safety responsible together with the Health and Safety Committee verify the corresponding assessments are updated any time a structural change is performed. 4.- Develop a lighting monitoring program to ensure lighting system is always meeting the required levels. 5.- Ensure assessment's results are reviewed by the Health and Safety responsible together with the Health and Safety Committee to determine further actions.
Compliance Classifications	Immediate Action Required
Local Law	1.- Law No. 618 General Law on Occupational Health and Safety Article 151. 2.- Law No. 618 General Law on Occupational Health and Safety Article 151. 3.- Law No. 618 General Law on Occupational Health and Safety Article 151. 4.- Law No. 618 General Law on Occupational Health and Safety Article 18. 5.- Law No. 618 General Law on Occupational Health and Safety Article 18 and 121.

Nondiscrimination (ND)

Benchmark ID	ND.3
Benchmark Details	Recruitment and employment policies and practices, including job advertisements, job descriptions, application and interview questions and job performance/evaluation policies and practices shall be free from any type of discriminatory bias.
Finding Details	It was found that the factory has a practice of requesting criminal background checks from workers. In addition, in a sample of 15 terminated workers, one dismissal was found to be due to a background check, where the worker appeared to have an alleged lawsuit for child support. Therefore, it would be a breach of FLA's policy that all hiring decisions would be based solely on the aptitudes of individuals in terms of education, training, experience, verifiable skills and/or abilities, as they relate to the inherent requirements of a particular job.
Recommendations for Immediate Action	Stop requesting criminal background checks, and review the detected case to verify if termination should be canceled.
Recommendations for Sustainable Improvement	Enforce the non-discrimination policy and procedures to include the prohibition of this practice.

Compliance Classifications	Immediate Action Required
Local Law	Political Constitution of the Republic of Nicaragua article 27.